

- How could Commerce One have exceeded expectations “in the past”?
What past?

Asked whether his company would ever turn a profit, Hoffman was ready: “There is no question we can turn this into a profitable business. We plan on becoming profitable in the fourth quarter of 2001, a year analysts see us making over \$250 million in revenues.”

There come those analysts again! “I like Commerce One at these levels because it’s growing faster than Ariba [a close competitor whose stock was also trading at around 400 times revenues],” said Jeanette Sing, an analyst at the Wasserstein Perella investment bank. “If these growth rates continue, Commerce One will be trading at 60 to 70 times sales in 2001.” (In other words, I can name a stock that’s more overpriced than Commerce One, so Commerce One is cheap.)⁷

At the other extreme was Capital One Financial Corp., an issuer of MasterCard and Visa credit cards. From July 1999, to May 2000, its stock lost 21.5%. Yet Capital One had \$12 billion in total assets and earned \$363 million in 1999, up 32% from the year before. With a market value of about \$7.3 billion, the stock sold at 20 times Capital One’s net earnings. All might not be well at Capital One—the company had barely raised its reserves for loans that might go bad, even though default rates tend to jump in a recession—but its stock price reflected at least some risk of potential trouble.

What happened next? In 2001, Commerce One generated \$409 million in revenues. Unfortunately, it ran a net loss of \$2.6 billion—or \$10.30 of red ink per share—on those revenues. Capital One, on the other hand, earned nearly \$2 billion in net income in 2000 through 2002. Its stock lost 38% in those three years—no worse than the stock market as a whole. Commerce One, however, lost 99.7% of its value.⁸

Instead of listening to Hoffman and his lapdog analysts, traders should have heeded the honest warning in Commerce One’s annual report for 1999: “We have never been profitable. We expect to incur net losses for the foreseeable future and we may never be profitable.”

Pair 4: Palm and 3COM